

ket is gradually dying out, and turning legitimate”, and points out that this is due to the reduction of import duty and the fact that service now matters as much as price for the Indian consumer. Rumao concurs, “I look at quality, service and warranty, and a small price differential doesn’t really matter.” The result is a light-grey market, where the products you want are available, at a cheaper price, and a slightly lower risk—as far as support is concerned.

Going international

One of the more popular methods of purchase is to ask a relative or friend who is travelling abroad, to buy a device for you. A little research may work wonders. Just as buying off-the-shelf in India, buying abroad assures you of quality. The range of products is bigger, and you get an international warranty for your device.

Price is a definite advantage here, provided you can get past customs. Even if you are carrying your gadget in personal baggage, import and associated duties, need to be paid. The duty structure in India can be rather complex to understand; the total duties applicable are a basic import duty that varies between 0 to 25 per cent (storage devices, for example, have 0 per cent basic customs duty), to which a further duty (a central excise duty) of 16 per cent is added. Beyond this, an additional duty of 4 per cent is levied. Now, all of these are cumulative, and can add up to a tidy sum. We did the math and learnt that at the highest level of basic customs duty, you end up paying a little over 150 per cent of the international price.

Currently, you are allowed to bring in Rs 12,000 worth of dutiable items in personal baggage. Above this amount, you are charged duty on the excess. Thus if you bring in Rs 15,000 worth of dutiable items in your personal baggage, you will be charged duty on Rs 3,000. If you are importing the goods through unaccompanied luggage, or via courier, the duties levied change. Keep in mind that rules change frequently, and you should keep checking with authorities and customs agents to find out the latest rates. The Central Board of Excise and Customs maintains an exhaustive Web site with relevant information at <http://www.cbec.gov.in>; the Indian Customs homepage is located at <http://www.cbec.gov.in/cae/customs/csmainpg.htm>.

Post-sales service can prove to be a mixed experience. As Kapoor puts it, “In

case of breakdowns of really niche products brought abroad, spares may not be readily available,” Shah too recounts an interesting incident about this, “We had tied up with a German company, and a customer had a problem with some component he bought from Dubai. We brought it here, and corresponded with the parent company. Unfortunately, it could not be serviced, and the component had to be sent abroad at the customer’s cost. The cost of sending it and getting it back was so high that it made sense to buy a new piece.” But still others point out that with big brands setting-up full-fledged service centres in India, after-sales service isn’t really a problem. (See box, ‘Service and warranties’)

Retail prices in the Middle East and



Looking at all the avenues available, buying online doesn't make sense

Far East do not vary much; Dubai and Singapore are clearly the favourites. A few years ago, it made sense to buy tech toys in South-East Asia—even considering the product cost, air tickets and travel expenses, it worked out cheaper. A laptop available there for Rs 1,00,000, is available in India for Rs 1,40,000. So even though the trip will cost you Rs 30,000, you are safe behind India specific warranty and service. Only if the trip is incidental, does buying abroad make sense.

Most often, goods are not declared and sneaked in without paying duty. Although the saving in duties may be immense, it is not worth the risk—as getting caught may result in hefty penalties and even the confiscation of your dream device.

Going buying.com

At first glance, buying online looks like the ultimate deal—search for a Web site that will fetch you the cheapest price for your dream gadget, and drop it into your shopping basket. However, buying off the Net is not yet hassle free. Though most people worry about security, the truth is your credit card information is not

secure—the transaction can be hacked by the store clerk you give your card to, or even by a 16-year old hacker. The bigger problem at hand is the lack of a centralised source. The www.amazon.com of books does not exist for other products. Fortunately, such Web sites as www.mysimon.com provide a price and and source comparison, to make your job easier.

We went Net-shopping to locate the best deals, and found out that an ATI Radeon 9800 Pro, with 128 MB DDR RAM costs anywhere between \$359 (about Rs 17,000) and \$458 (about Rs 21,750). This difference is huge; in fact, this is where the fine print comes in. Each Web site has different charges for shipping, handling, insurance and so on. And when you consider shipping this back home to India, you still have to pay for customs and associated duties. After locating e-retailers who will ship to India, and who have a sound history of delivering the goods, you will be informed by the courier agent about the requisite duties. Since most sites take credit card payments, you have already been billed for the article and delivery. You will need to clear these customs dues, failing which, delivery will not be acted on. This makes buying online a lengthy affair.

Still, this is the easiest way to get through to the actual purchase—everything here is a click away, and you do have access to a very large range, not to mention the research and comparisons possible about almost any product. Of course, getting a feel of the article is not really possible, and quality, while not necessarily suspect, can be questionable at times. When buying off third-party sites, some background research into their track record and fine print is highly recommended.

If you are looking for a generic, one-size-fits-all, great deal, best route... Sorry! there is no clear answer yet. Ultimately it boils down to your needs, and what is most important to you. To get the best deal on that killer product, all you need to do is apply common sense and make a decision after weighing all the factors that we have discussed. Finally, remember, the ancient Latin phrase, *Caveat Emptor* (let all buyers beware) always holds true. If all goes well, you will soon be strutting around with the envy of your neighbours... ■

AAYUSH IYER

aayush_iyer@thinkdigit.com

SRINIVASAN RAMAKRISHNAN

srinivasan_ramakrishnan@thinkdigit.com